



Correspondent Bulk Purchase Program

CORRESPONDENT BID TAPE

It is highly recommended that before live bid tapes are submitted that a sample tape be provided to flagstarbulldesk@flagstar.com to ensure all applicable fields are available for correct bidding. Failure to provide a sample tape will result in delays in processing an initial bid.

- Allow for 2 hours to review sample bid tape
- Include a representative sample of business mix
- This is a one-time process that should be completed prior to submitting live tapes

OVERLAYS

Loans are not required to meet Flagstar Bank's conventional underwriting guidelines or government underwriting guidelines, but are required to follow agency guidelines plus Flagstar Bank's [Conventional Delegated Overlays](#) and the [Government Delegated Overlays](#).

EXCEL BID TAPE REQUIREMENTS

The fields listed in the table below are minimum requirements to be included in bid tape.

- Additional fields may be added to the list below (no limit on additional fields)
- Maintain column heading names and naming conventions as much as possible
- Column placement can vary, but column heading names must remain constant

Field Requirement	Definition	Example
Seller Loan Number	Unique seller loan number	ABC456789
Borrower First Name ¹	Primary borrower first name	Steven
Borrower Last Name ¹	Primary borrower last name	Johnson
Loan Program	Loan program requested	FHA 30 STRM W/Out Appr
AUS Findings	LPA or DU findings	LP - Accept
Purpose	Loan purpose	Cash Out Refinance
Loan Term	Amortization term	360
Credit Score	FICO score used for pricing purposes	777
Interest Rate	Note rate	4.25%
Base Loan Amount	Current unpaid principal balance	\$125,000
Total Loan Amount	Current unpaid total loan amount	\$127,500
Purchase Price	Sales price	\$138,750
Appraised Value	Appraised value	\$139,000
LTV	Loan to value	90.1
CLTV	Combined loan to value	92.0
Occupancy Type	How subject property will be occupied	Non Owner Occupied
Property Type	Type of property	Detached PUD
Escrows/Escrow Waiver	Presence of escrows	Taxes
MI Type	If LTV > 80%, type of MI	BPMI
Street Address ¹	Subject property street address	5151 Corporate Drive
City ¹	Subject property city	Troy
State	Subject property state	MI
County	Subject property county	Oakland
Zip Code ¹	Subject property zip code	48098
First-time Home Buyer	If the borrower is a first-time home buyer	Yes



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Field Requirement	Definition	Example
Monthly Income	Total monthly income for borrower(s)	\$15,000.00
Buydown	If the loan is a buydown/Buydown type	2-1 Temp Buydown

1. Not material for pricing levels, but required for loan registration.

SUBMITTING PACKAGES FOR BID

All requests for bulk package pricing must be submitted by email to both: flagstarbulkdesk@flagstar.com and flagstartradedesk@secondarytools.com. The email should include the following:

- Excel spreadsheet attached containing loans for bid
- Time bid pricing is due – please allow for no less than one hour turn-around
- Requested commitment period (time needed to upload saleable closed loan packages)
- Any additional information specific to bid that is material
- Contact information

All other correspondence not related to the initial bid submission should be directed only to flagstarbulkdesk@flagstar.com. Examples of standard correspondence would include general questions, pair off requests, loans awarded, etc.

PROGRAM REQUIREMENTS

MINIMUM TAPE SIZE

\$1,000,000

MINIMUM TRADE AMOUNT

\$250,000

MAXIMUM TRADE AMOUNT

\$25,000,000

TRADE TOLERANCE

+/- 2.00% of original trade amount

MAXIMUM OUTSTANDING TRADE AMOUNT

Will be determined on an individual basis by counterparty. Flagstar reserves the right to decline to bid on any package at any time given relationship standing or current market conditions.

PRICING

All pricing indications are considered live and are subject to change at any time until pricing acceptance between both parties.

MANDATORY DELIVERY

All bulk program price quotes require mandatory delivery. Failure to deliver loans products under the terms of the original commitment could result in a Pair Off fee.

AVAILABLE COMMITMENT PERIODS

Commitment period options are available from 1 to 30 days and will be chosen by the correspondent. The price of the bulk bid will vary by commitment period requested. A completed closed/salable loan package must be received within the chosen commitment period.

For example, a bulk trade is executed on July 1st and the correspondent has requested a 5 day commitment period. It is the correspondent's responsibility to ensure that all closed loan packages have been received at Flagstar on or before July 6th (July 1st + 5 days) or be subject to Pair Off fee.

FILE PURCHASE REQUIREMENTS AND EXTENSION COSTS

Loans delivered by the commitment expiration date but are incomplete will be given a cure period of 5 business days following the post-closing problem date or lock expiration date whichever is greater. Loans that do not have all errors and omissions resolved within this time frame but were delivered on-time will be subject to an extension fee calculated at 2 bps per diem from the later of lock expiration or post closing problem date plus 5 business days. This extension fee will be applied to your loan as a Funding Extension fee. This is a separate fee and is not netted from the lock price. This fee will apply regardless of an improving or declining market position.

SUBSTITUTIONS

If correspondent cannot deliver a loan that was originally included in the bulk bid or that is deemed non purchasable by Flagstar, the correspondent may substitute another loan as long as the commitment date on the original bulk bid has not expired and the loan being substituted is of similar product type and term. The loan being substituted will be re-priced using pricing from the original date of acceptance, plus any applicable LLPAs.

The loan being substituted may be of any loan amount so long as it does not exceed the +/- 2% trade tolerance limit.

LOAN REGISTRATIONS

In all possible instances, Flagstar will register and lock all loans awarded through the bulk bidding process. The Flagstar loan numbers will be provided shortly after the correspondent has awarded loans and will be included with the final trade confirmation.

TRADE DESK AVAILABILITY

The mandatory trade desk will be open 9:00 AM EST to 5:00 PM EST. In general, the trade desk follows the [SIFMA](#) holiday closing schedule.

PAIR OFF CALCULATION AND FEES

A Pair Off fee will only be assessed for one of the following two reasons:

- Failure to deliver the complete closed/salable loan package(s)
 - Pair Off fees will be determined by comparing the original MBS price at time of commitment to the MBS price the day (10:00 AM EST) after the commitment expiration date.
 - All final pricing determinations will be made by Flagstar.
- Loans that have been delivered within required commitment period, but did not meet Flagstar's guidelines for a purchasable loan product and a suitable loan was not substituted.
 - Pair Off fees will be determined by comparing the original MBS price at time of commitment to the MBS price the day (10:00 AM EST) following the note/collateral is returned to the correspondent.
 - All final pricing determinations will be made by Flagstar.



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Pair Off fee calculations will be determined by comparing the original MBS to the MBS price at the time of the applicable pair off date.

- If the MBS price on the pair off date is worse/lower than the original MBS price (rates have increased), there will not be a Pair Off fee assessed.
- If the MBS price on the pair off date is better/higher than the original MBS price (rates have decreased), Pair Off fee will be market movement multiplied by the unpurchased amount of the original commitment amount +/- the 2.00% trade tolerance.

PRICE CONCESSIONS

Loans submitted through the bulk pricing program will not be eligible for any pricing concessions offered by Flagstar. The bulk price provided will be all inclusive for the correspondent.

FLOAT-DOWN AVAILABILITY

Loans committed to a bulk trade will not be eligible for an interest rate float-down.

LOANS PREVIOUSLY LOCKED AT FLAGSTAR

Loans previously locked as a best effort lock will not be eligible for inclusion into a bulk package unless the lock has been expired for > 60.

ELIGIBILITY

Conforming Eligible	Government (FHA, VA and USDA) Eligible
Agency 5/6, 7/6, and 10/6 SOFR ARM	FHA 5/1 ARM
Fannie Mae Fixed-Rate	FHA Fixed Rate
Freddie Mac Fixed-Rate	FHA Streamline Refinances (Flagstar as Servicer)
Freddie Mac Home Possible	FHA Streamline Refinances (Other Servicer)
Fannie Mae HomeReady	FHA/VA High Balance
Fannie Mae High-Balance	Rural Development
Freddie Mac Super Conforming	VA 5/1 ARM
Texas Homestead 50(a)(6) Refinance	VA Fixed Rate
	VA IRRRL

Conforming Ineligible	Government (FHA, VA and USDA) Ineligible
Fannie Mae Cooperative Property	FHA 203K
Fannie Mae HomePath Renovation	FHA 203K Streamline
Fannie Mae HomeStyle Renovation	Section 8 Housing Voucher
Freddie Mac Relief Refinance II	Section 247 – Hawaiian Homelands
Freddie Mac Relief Open Access II	Section 248 – Indian Reservations
Jumbo Fixed	Section 184 – Indian Home Loan Guarantee
Jumbo 5/1 & 7/1 ARMs	FHA negative equity refinance
Jumbo 10/1 ARM	Back to work
Loans with exceptions to Flagstar guidelines	Energy efficient mortgage
Manual underwrites	Condominiums without a HOA (Applies to VA)



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Conforming Ineligible	Government (FHA, VA and USDA) Ineligible
Fannie Mae DU Refi Plus II (no MI)	Joint VA loans (1 veteran is exempt from funding fee and 1 is not - OR - 2 veterans pay different funding fees)
Fannie Mae DU Refi Plus II - Value Plus	Reverse mortgages
	Non Safe Harbor QM (Applies to VA)